

University Preferred Contracting Positions

This document sets out the University's preferred contracting positions for [Standard and Complex](#) grants and contracts carried out by the Research Grants and Contracts Team (Schedule 1). The protocol provided for below defines the University's preferred positions for key contractual terms and provides an acceptable University position to allow negotiation with the University's funders.

Requests for approval of terms outside the requestor's delegated authority, or terms outside those described below must be documented, and approved. Where possible this will be via the Delegated Approval workflow in the University Research CRM ("RCRM"). The [Research Contracts Delegations](#) assigns relevant delegations to execute contracts with specific terms. This document outlines relevant routes of escalation for other key contract terms that aren't aligned to either the approved or acceptable positions.

Intellectual Property positions are set by Auckland UniServices Ltd. Specific Intellectual Property provisions are set out [here](#).

Approved Exceptions to Preferred Contracting Positions

In instances where exceptions to the Preferred Contracting Positions are pre-approved, and do not require escalation to a delegated approver, or escalation through the Contract Classification Framework, these will be listed in the relevant part of the Schedule below.

Schedule 1 – List of University Preferred Contracting Positions

	Preferred Contracting Position	Acceptable Contracting Position (where a position other than Preferred is deemed necessary)	Required Escalation	Reference Documents
1. Insurance - Location of Project Delivery	Wherever possible the project should be delivered in NZ Note: Clinical Trials policy only covers Clinical Trials undertaken in New Zealand. Additional insurance will be required for trials delivered overseas. <u>This must be priced before contract.</u>	Delivery in Australia, United Kingdom, or the Pacific Region (where the contract is under NZ Law) is Acceptable	Outside of the locations listed, requires sign-off from the Risk Office to assess whether additional insurances are required. Once confirmed from Risk, execution as per Research Contracts Delegation Schedule	CM Guidelines (under review) Proposal and Contract Escalation Criteria for Insurance (under review)
2. Insurance – Clinical Trials		All Industry-led sponsored Clinical Trials require an Indemnity and Compensation Agreement to be executed alongside the CTRA. This is available https://nzacres.org.nz/standardised-indemnity/	Where the proposed Clinical Trial involves children under the age of 5 and/or involves pregnant people escalate to the Risk Office for confirmation. If the Clinical Trial has any offshore delivery component, escalate to Risk to confirm if any additional insurances are required	
3. Clinical Trial Template	Where possible use the New Zealand Association of Clinical Research Contract template (NZACRes), incorporating Schedule 6 modifications (refer Contract Template Repository, currently Sharepoint). An upfront set-up fee will be incorporated into the payment schedule to cover up- front costs for staff to support recruitment and site costs. This must be paid irrespective of if recruitment targets are met.	Non-NZACRe templates are acceptable provided, however, key modifications of Schedule 6 are to be incorporated into the relevant CTRA being used.	For key terms from Schedule 6 that cannot be incorporated, escalate to Senior Manager, Research Grants and Contracts.	Clinical Trial Training Material
<u>Financial</u>				
4. Foreign Currency	Payment made in NZD	Foreign currencies that are less than NZD\$500,000 from countries with FX rates listed here are acceptable. This will be provided by FIRST.	Foreign currencies that are for more than NZ\$500,000 or that do not have an FX rate listed on [link] must be approved by UoA Treasury. FIRST will be responsible for obtaining this approval.	FX Policy
5. Billing Schedule for International Contracts/ Domestic commercial	Where we are engaging an international client or a domestic client (for commercial activity), an upfront payment on execution is required.	Contracting with international clients with an offshore delivery component requires an upfront payment. Other contracts with international partners, subject to credit risk	Non-standard billing schedule for International Contracts = Credit and Collections Manager at STC	

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		assessments, can proceed under standard University payment terms and conditions		
6. Taxation	NZ contracts: costs presented as “excluding GST” Overseas contracts: costs presented as “excluding any applicable taxes and duties, which are payable by the Client on any taxable supplies”	If an offshore Client requires us to incorporate offshore tax (and makes specific reference to this in the proposed Agreement), this needs to be included in the Contract Fee, and should be escalated to Tax and Compliance team to advise on this.	Tax and Compliance	<i>GST Flowchart</i>
<u>Other Contractual</u>				
7. Liability Limitations and Exclusions	The total liability should be limited (including under the indemnities offered) to the lesser of: - the amount paid under the contract to date or to the value of the contract (subject to the liability limit set out in the Research Contract Delegations); - NZD \$500,000.00. Liability is limited to direct losses caused by damage/injury occurring in course of contract resulting from the negligent acts/omissions or willful misconduct <u>of the University</u>. Consequential or indirect losses of all kinds or agreement to ‘hold client harmless’ are explicitly excluded. Also exclude liability of the University for loss of data, profit, revenue, savings, business, and goodwill. For purposes of establishing correct party at University to execute (sign) the contract, please refer to the total liability exposure (including indemnities) as per the Research Contract Delegations.	An acceptable total liability limit, including any indemnities, is in line with the Research Contract Delegations. Liability is limited to direct losses caused by damage/injury occurring in course of contract resulting from the negligent acts/omissions or wilful misconduct <u>of the University</u>. For Contracts, with Trusted Funders (on the Trusted Funder list), that are Contracts resulting from contestable funding rounds, an uncapped liability to such Trusted Funders is acceptable. For Contracts, with Trusted Funders (on the Trusted Funder list), that are <u>NOT</u> Contracts resulting from contestable funding rounds, the CA/CM will refer only the issue of the liability cap for the Contract, to their Portfolio Manager. Indirect losses are acceptable only if the total liability exposure, including any indemnities offered, includes these in-direct losses, and is capped subject to monetary limits outlined in the Research Contracts Delegations. Acceptable for the following to be excluded from the monetary limits of liability, as outlined in the Research Contracts Delegations: - Fraud <u>committed by the University</u> - wilful default <u>by the University</u>; - personal injury/death <u>caused by the University</u>; - liability of the University, that , by the	Refer Research Grants and Contracts Delegations	

- operation of Law, cannot be excluded;
5. confidentiality obligations contained in the contract, provided the client is not a commercial entity with a recent annual revenue of NZD\$150mil or more.

For purposes of establishing correct party at University to **execute** (sign) the contract, please refer to the total liability exposure (including indemnities) as per the Research Contract Delegations.

8. Indemnities

No indemnities offered, except for Trusted Funders where (uncapped liabilities, on the basis of clause 8 above and) indemnities are deemed accepted

For Trusted Funder awards that are **NOT** resulting from contestable funding rounds, indemnities should only be offered on the basis that:

1. the University indemnify **Trusted Funders** for damage/injury occurring in course of the contract, resulting from the negligent acts or omissions, or wilful misconduct of the University;
2. any liability under the indemnity (if applicable) provided to **Trusted Funders**, is explicitly **included** within the Liability Limit; and
3. any liability under indemnity provided to **Trusted Funders**, must include:
 - proportionate reduction for contributory negligence by the Trusted Funder; and
 - obligations on each party to mitigate losses.

Do not provide indemnities against IP infringement.

For purposes of establishing correct party at University to execute (sign) the contract, please refer to the total liability exposure (including indemnities) as per the Research Contract Delegations.

Only indemnify client for damage/injury occurring in course of the contract resulting from the negligent acts or omissions, or wilful misconduct **of the University**.

Any liability under the indemnity is explicitly included within the Liability Limit.

Any liability under indemnity must include:

Refer Research Contract Delegations

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		➤ proportionate reduction for contributory negligence by the client ➤ obligations on each party to mitigate losses. Do not provide indemnities against IP infringement, except where a project is being funded by a Trusted Funder through a Contestable funding award, in these cases an indemnity clause can include provisions for infringement to 3rd party IP breaches. Acceptable limits for indemnities are included in the total liability exposure (including indemnities) as per the Research Contract Delegations		
9. Insurance policies	Contract states we will maintain sufficient insurance cover to conduct the work, and does not refer to explicit policy limits.	Acceptable positions are where a specific request for insurance limits in the Contract are below or equal to the University's current policy limits	Risk Office (there is an agreed exception where copies of the policies have been provided to the RGC team by the Risk Office. Escalation is only required for limits outside of those)	CM Guidelines (under review) Insurance certificates
10. Warranties	The University only warrants it has authority to enter into the contract and that performance will be to a professional standard and will comply with usual good practice. Additionally – the contract Must expressly exclude all warranties other than those expressly stated in the contract (Note: it is acknowledged that it may not be possible to negotiate the inclusion of this exclusion clause in New Zealand and International Funding Agency Contracts). Note: laws of most countries imply certain warranties in contracts e.g. Sales of Goods (which can be contracted out of) or Consumer Guarantees (which cannot be contracted out of in respect of consumer goods/services)	No other warranties offered.	Senior Manager, Research Grants and Contracts	CM Guidelines (under review)
11. Confidentiality	Definition of confidential information excludes information already public, independently developed, previously known by receiving party, legal obligation to disclose. The University must be able to disclose confidential information to its agents and Affiliates. Duration of confidentiality can extend to 5 years post completion of the confidentiality period	Confidentiality obligations do not survive forever, but only for a limited period (e.g. 5-7 years post-termination/expiry/disclosure to recipient)	Senior Manager – Research Grants and Contracts	Confidentially Agreement Contracts Checklist

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12. Publication	The Principal Investigator must have the right to publish using the research and results, after a reasonable opportunity has been given to the Client patent/protect (no more than 60 days from issuing the request). Any Students involved in the project must retain publication rights for thesis or other publication for academic purpose. This includes any commercially sensitive information/materials.	A stand-down before publication is acceptable provided such standdown does not extend beyond 12 months If any information produced by a student who is using this information as part of their academic programme is deemed commercially sensitive and required to be embargoed, this can be restricted from general publication subject to the embargo process for a maximum of 12 months. For Consulting Contracts only a PI may approve removal of the publications clause in the following circumstances: - Academic does not need right to use results for research, nor right to publish, AND - Services are not expected to generate new knowledge, AND - There are no students relying on the research for their thesis/dissertation	Senior Manager, Research Grants and Contracts. If an embargo period of more than 12 months is requested, this must be approved by the School of Graduate Studies.	<i>CM Guidelines (under review)</i> <i>UoA Postgraduate Students Thesis Embargo Guidelines Education and Training Act 2020, s267 (Academic Freedom)</i>
13. Moral Rights	The University's standard position is that the 'author' (in terms of the Copyright Act 1994) retains authorship and copyright and never waive rights for any thesis or academic publications.		Principal Investigator (academic/student) - In first instance consult with Head of IP at UniServices (they can then help the PI make an informed decision) These rights can ONLY be waived by the person entitled to the right after thorough discussion with relevant person (academic / student). It is important to watch the wording of what is waived and ensure that the waiver is limited to what is being produced within the scope of the work of the contract	<i>CM Guidelines (under review)</i>
14. Publicity	Neither party can use names/brands of the other or their personnel without prior written consent.		University Marketing (brand@auckland.ac.nz)	<i>CM Guidelines (under review)</i>
15. Payment terms	20th day of the month following date of invoice.		Credit and Collections Manager at STC.	<i>CM Guidelines (under review)</i>

16. Governing Law & Jurisdiction	New Zealand	Australia, the United Kingdom, Common European Countries, Singapore Where the Client is based in the USA, in these instances a non-exclusive jurisdiction of the USA in a specific state is acceptable	General Counsel	<i>CM Guidelines (under review) Proposal and Contracts Escalation Points for Insurance (under review)</i>
17. Language	English version prevails		Senior Manager, Research Grants and Contracts	
18. Dispute Resolution	Both parties must discuss in 'good faith' any dispute prior to proceeding to arbitration or litigation. Escalation to senior management process step followed by mediation should be included prior to arbitration or litigation. All dispute resolution conducted in English. Requirement to follow the dispute resolution process must not prevent a party from taking urgent interlocutory action through the courts. <u>Note:</u> It may not be possible to alter the dispute resolution clauses for New Zealand and International Funding Agency Contracts. Where this is the case, escalation is not required.		Senior Manager Research Grants and Contracts / General Counsel (Designated Legal Advisor's in General Counsel's absence)	<i>CM Guidelines (under review)</i>
19. Termination	Mutual two way termination for material breach of contract or insolvency. Clear right of the University to terminate for Client's failure to pay. Accrued rights and benefits are not affected by termination.		Senior Manager Research Grants and Contracts	<i>CM Guidelines (under review)</i>

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	Client to pay termination costs including any uncancellable obligations. <u>Note:</u> It may not be possible to alter the termination provisions for New Zealand and International Funding Agency Contracts. Where this is the case, CA/CM to escalate to the PM. For Consulting contracts only: termination for convenience acceptable, provided there is a reasonable notice period, the PI agrees and the Client has agreed to pay termination costs including any un-cancellable obligations.			
20. No disrepute clauses	Do not accept clauses that preclude University academic staff or students from saying or doing anything that would bring the client into "disrepute".	Certain clauses may be acceptable provided the following wording is included: "Nothing in this Agreement will limit the rights of the University's personnel to exercise the academic freedoms enshrined in s267 of the Education and Training Act 2020 (NZ)." NOTE: the academic freedoms are enshrined in legislation and cannot be contracted out of in any case. The above wording only serves to highlight this to the client.	Senior Manager Research Grants and Contracts	<i>Education and Training Act 2020, s267 (Academic Freedom)</i>
21. Variations and Extensions	All variations to be negotiated and executed in writing prior to the expiry of the current Agreement and in accordance with any applicable funder guidelines.	Extensions to be negotiated and executed in writing only if the current Agreement has itself expired. For the avoidance of doubt, extensions may cover changes to the contract outside of just an extension to the end date.		<i>CM Guidelines (under review)</i>

Document Control

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